

PERFECT COMPETITION

Section A

Duration of each question is **40 mins**.

- 1 The model of perfect competition is the ideal form of market structure because it is the most efficient.

With the help of diagrams, evaluate this statement.

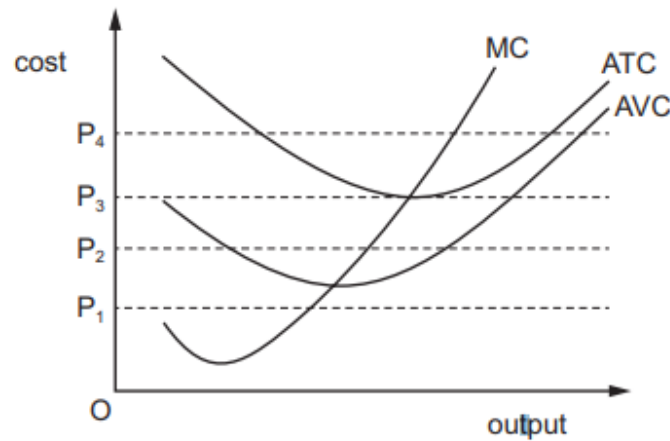
[20]

Section B

Answer **all** questions

Duration 30mins

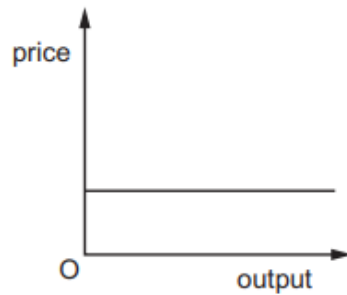
1. The diagram shows the marginal cost (MC), average variable cost (AVC) and average total cost (ATC) curves of a profit maximising firm in a perfectly competitive market.



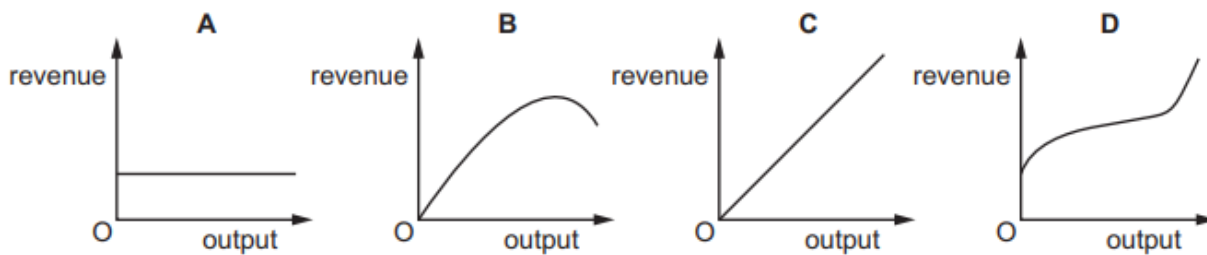
Which market price would mean the firm would operate in the short run but **not** in the long run?

- A** P_1 **B** P_2 **C** P_3 **D** P_4

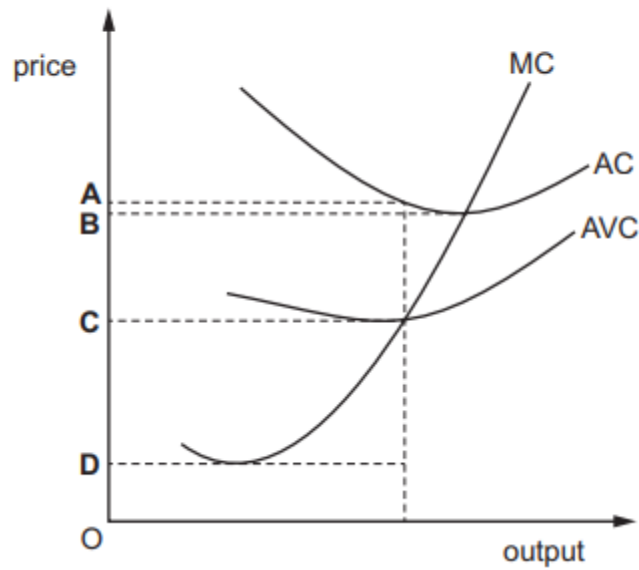
2. The diagram shows the demand curve for a firm's product.



Which diagram shows the shape of the firm's total revenue (TR) curve?



3. The diagram shows the cost curves of a firm operating in a perfectly competitive market. Below which price will the firm shut down in the short run?



4. A perfectly competitive firm is currently producing at a level of output where its marginal cost is above both its average total cost and the market price.

What would be the effect on price and output if the firm were to maximise its profit?

	effect on output	effect on price
A	decrease	increase
B	decrease	unchanged
C	increase	decrease
D	increase	unchanged

5. A perfectly competitive firm is producing a level of output where average cost is lower than marginal cost.

What are the effects on these costs if output increases by one unit?

	average cost	marginal cost
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises

6. A single firm in an industry alters production, but its actions have no effect on the market price of the good.

If the price always clears the market, how would an economist classify this industry?

- A** imperfect competition
- B** monopoly
- C** oligopoly
- D** perfect competition

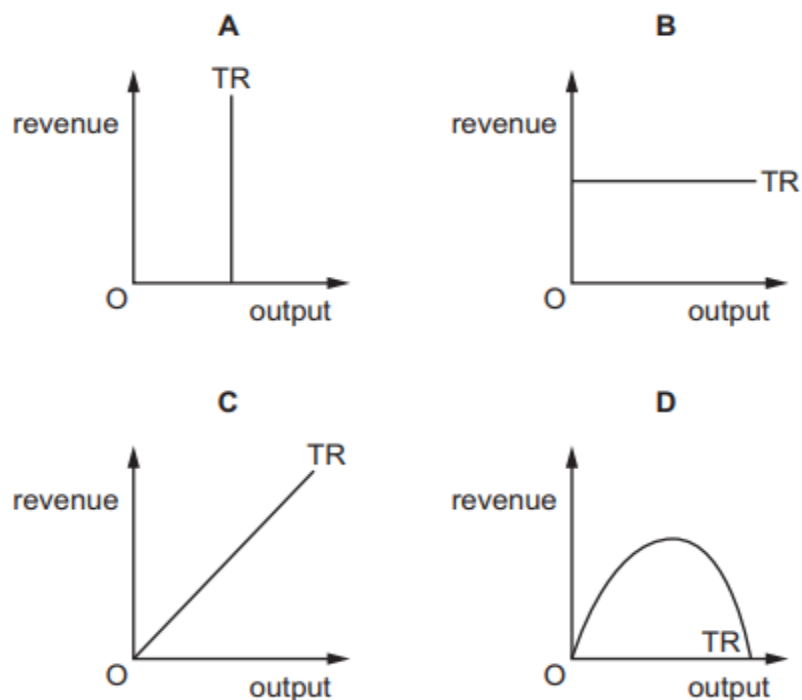
7. What is correct if a firm in a perfectly competitive market is maximising its long-run profits?

	it is allocatively efficient	it is productively efficient
A	no	no
B	no	yes
C	yes	no
D	yes	yes

8. For which market structure can a market supply curve be constructed?

- A imperfect competition
- B monopoly
- C oligopoly
- D perfect competition

9. Which diagram shows the total revenue function for a firm in perfect competition?

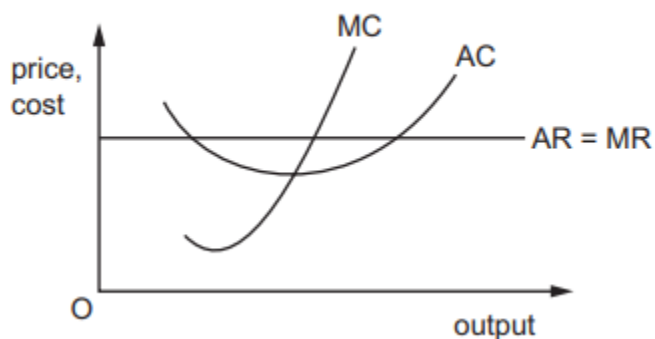


10. A firm is operating in perfect competition.

What will be the effect on the firm's revenue if it increases its output by 5%?

- A Its revenue will be unchanged.
- B Its revenue will increase by 5%
- C Its revenue will increase by less than 5%.
- D Its revenue will increase by more than 5%.

11. The diagram shows the position of a profit-maximising firm in a perfectly competitive industry.



What is the correct analysis of this position?

	profits in short run	number of firms in the industry in the long run
A	supernormal	decrease
B	supernormal	increase
C	normal	remain the same
D	subnormal	decrease

12. Where is the long-run equilibrium output of a perfectly competitive firm?

- A** where average costs are at a minimum
- B** where average costs are falling
- C** where marginal costs are at a minimum
- D** where marginal costs are falling

PERFECT COMPETITION (MARKING SCHEME)

Question	Answer	Marks
1	The model of perfect competition is the ideal form of market structure because it is the most efficient. With the help of diagrams, evaluate this statement. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis - Definitions of productive and allocative efficiency with diagrams. - Reference to the short run and long run - Definition of perfect competition, explanation of the assumptions of the perfectly competitive market in terms of number of participants, freedom of entry and exit. - An analysis of how the assumptions lead to the equilibrium position in perfect competition and the implications of this in terms of productive and allocative efficiency. - Diagrams to show short run profits, long run profits and resolution to normal profits. AO3 Evaluation - Evaluation may be concerned with the realism of perfect competition as a model of economic behaviour or its ability to achieve economic efficiency. - A demonstration of the model of perfect competition to set a standard of equilibrium at which both productive and allocative efficiency occur. - A comparison of other market competitive structures outcome(s) with the efficiency suggested by perfect competition. - Relevance to real world activity and the paucity of real-world examples of perfect competition. - The impact of monopoly profits on the ability to spend on research and development (R&D), and the implications for dynamic efficiency. Accept all valid responses	20
	AO1 Knowledge and understanding and AO2 Analysis	14
	AO3 Evaluation	6

PERFECT COMPETITION

A LEVEL

ECONOMICS P3

1.	B	5.	D	9.	C
2.	C	6.	D	10.	B
3.	C	7.	D	11.	B
4.	B	8.	D	12.	A